SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

July 15, 2026 | 04:21 PM ET

MACRO REGIME: Risk-On (Small-Cap Leadership)

VIX 15.7 (-1.3 vs 20d) | SPY 20d +0.6% | IWM 20d +1.3% | IWM/SPY trend +0.7%

Leaders: Financials (+4.1%), Healthcare (+3.5%), Energy (+2.1%)

Setup Grades

A - Prime Setup (3)	B - Building (5)	C - Early Stage (4)
ESTA	SPB	PENN
FLYW	VCYT	AMCX
VSTS	DAVE	CHRN
	PII	BLLN
	ACHC	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
A	**ESTA**	**Establishment Lab**	**Premium MedTech Glob**	**$2.67B**	**$90.62**	**$92.84**	**2.4%**	**+27.9**	**YES**	**YES**
A	**FLYW**	**Flywire Corporati**	**Cross-Border Payment**	**$2.32B**	**$18.78**	**$18.92**	**0.7%**	**+36.6**	**YES**	**YES**
A	**VSTS**	**Vestis Corporatio**	**Industrial Services**	**$2.05B**	**$15.51**	**$15.61**	**0.6%**	**+59.6**	**YES**	**YES**
B	SPB	Spectrum Brands H	Consumer Staples Val	$2.02B	$87.67	$88.65	1.1%	+3.3	YES	no
B	VCYT	Veracyte, Inc.	Precision Diagnostic	$4.75B	$59.51	$60.91	2.4%	+66.7	YES	no
B	DAVE	Dave Inc.	Fintech Profitabilit	$5.57B	$438.19	$442.33	0.9%	+82.4	YES	YES
B	PII	Polaris Inc.	Consumer Discretiona	$4.07B	$71.49	$73.77	3.2%	+42.6	YES	no
B	ACHC	Acadia Healthcare	Mental Health Capaci	$2.97B	$32.27	$33.50	3.8%	+13.2	YES	YES
C	PENN	PENN Entertainmen	Sports Betting Profi	$2.83B	$21.12	$22.36	5.9%	+23.8	YES	no
C	AMCX	AMC Global Media	Legacy Media Restruc	$0.46B	$10.59	$10.63	0.4%	+23.4	YES	no
C	CHRN	ChronoScale Holdi	Unknown - Data Limit	$4.30B	$29.63	$30.00	1.2%	+180.7	YES	YES
C	BLLN	BillionToOne, Inc	Precision Diagnostic	$5.97B	$129.88	$130.00	0.1%	+53.0	YES	no

ESTA

Establishment Labs Holdings Inc

$90.62

Pivot $92.84 | 2.4% away

RS vs SPY: +27.9%

A PRIME

$2.67B Cap | 20M Float

Medical Devices - Breast Aesthetics & Reconstruction | Theme: Premium MedTech Global Expansion | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2.

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$92.84**
% to Pivot	**2.4%**
Days in Base	**19**
Tightness	**2.40 Fair**
52W Hi Prox	**97.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**296k <**
Wk2	**766k <**
Wk3 (oldest)	**1082k**
Coil Strength	**72.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+27.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.67B**
Float	**20M sh**
P/E (TTM)	**-**
Fwd P/E	**1208.3**
Rev Growth	**44.7%**
Short %	**20.3%**
Inst. Own	**-**
Target Pr.	**$94.11**

ENTRY TRIGGER

Close above $92.84 on volume >150% of 20-day avg (>930K shares)

Target: $108 (16% measured move from 19-day base depth of ~$14)
Stop: $84.50 (base low, 6.7% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

Aug 06 - Street expects EPS ~$0.02 on revenue ~$65M representing 40%+ growth. Company has beaten estimates 3 of last 4 quarters with revenue consistently exceeding guidance. Recently raised FY26 guidance citing strong international demand and U.S. commercial launch momentum.

BUSINESS & POSITION

Establishment Labs manufactures premium silicone breast implants (Motiva brand) with differentiated safety technology including RFID chip identification and proprietary surface texturing. The company is the fastest-growing player in the $2.5B global breast aesthetics market, gaining share from legacy incumbents Allergan and Mentor through superior safety profile and surgeon preference.

FACTOR & THEME

Healthcare sector (+3.5% 20d) leadership provides tailwind. Taps elective procedure recovery theme as consumer spending on aesthetics remains resilient. GLP-1 adoption creates secondary demand driver as weight-loss patients increasingly seek body contouring procedures. Peer Inmode (INMD) reported strong demand trends.

NEWS FLOW

Q1 earnings (May) showed 44.7% revenue growth with expanding gross margins to 70%. FDA cleared expanded indications in March, opening incremental U.S. market opportunity. Announced distribution partnership expansion in Asia-Pacific region. [Catalyst Impact: Earnings - High; regulatory/commercial expansion - Medium]

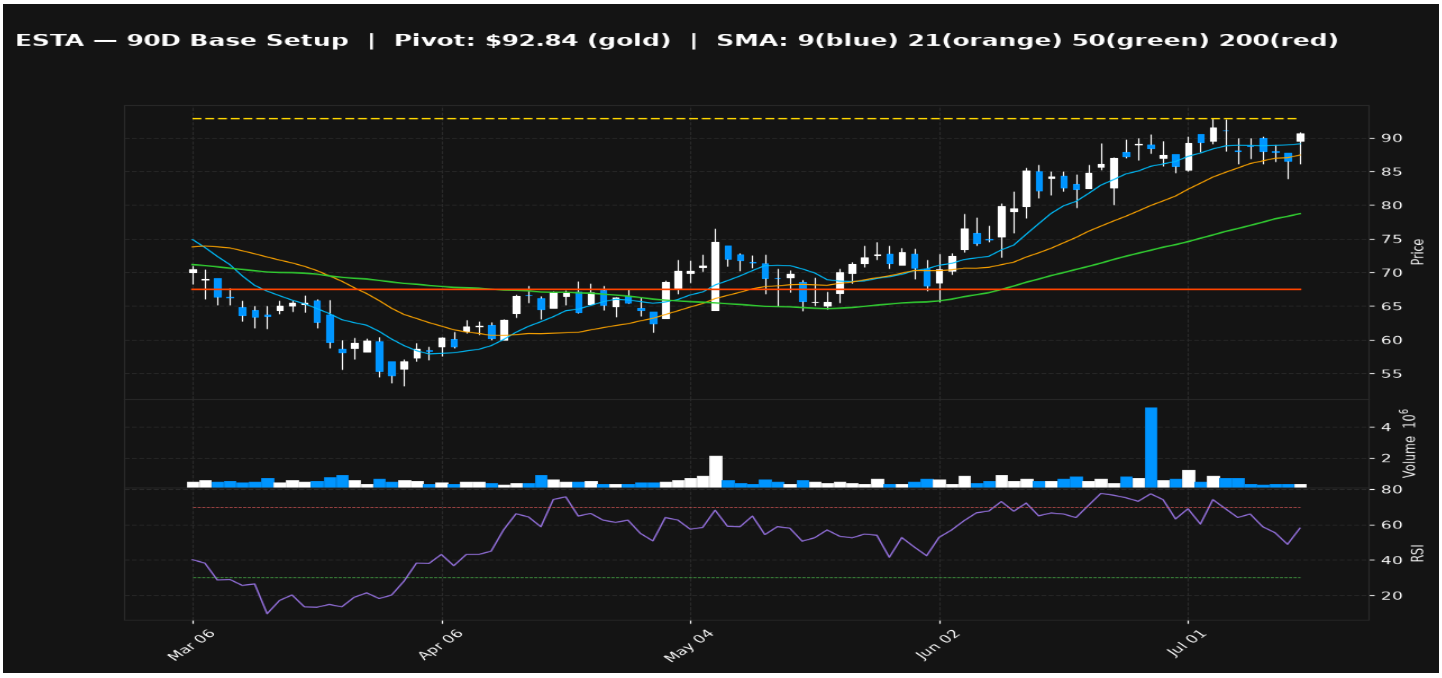
INSTITUTIONAL

Textbook quiet accumulation pattern: 72.6% volume contraction over 3 weeks while price holds within 2.4% of highs indicates institutional positioning ahead of catalyst. Float is tight at 19.6M shares. Short interest elevated at 20.3% (5.9 days-to-cover) creates squeeze potential on positive catalyst. No insider activity in last 60 days - baseline for growth-stage company.

KEY RISK

Thesis invalid on close below $84.50 (base low / 50-day MA zone), or if August print shows revenue deceleration below 35% growth or margin compression. 20% short interest means violent moves both directions. Binary risk: competitive response from Allergan could pressure pricing.

Textbook VCP: vol contracts cleanly 1,082K766K296K, base_tight 2.4, RS line at new high, pivot 2.4% away with earnings catalyst in 22 days. Healthcare sector leadership and 44.7% revenue growth company positioned for potential upside surprise. High short interest (20.3%) provides squeeze fuel. Bear case: elevated valuation (11.6x P/S) leaves no margin for execution miss, and elective procedure demand could soften if consumer weakens. Conviction: High.



FLYW

Flywire Corporation - Voting

$18.78

Pivot $18.92 | 0.7% away

RS vs SPY: +36.6%

A PRIME

$2.32B Cap | 85M Float

Payments Software - Vertical SaaS | Theme: Cross-Border Payments Digitization | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.58

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$18.92**
% to Pivot	**0.7%**
Days in Base	**13**
Tightness	**4.58 Fair**
52W Hi Prox	**99.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1633k <**
Wk2	**2632k <**
Wk3 (oldest)	**2843k**
Coil Strength	**42.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+36.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.32B**
Float	**85M sh**
P/E (TTM)	**78.3**
Fwd P/E	**15.0**
Rev Growth	**41.0%**
Short %	**11.0%**
Inst. Own	**-**
Target Pr.	**$19.23**

ENTRY TRIGGER

Close above $18.92 on volume >120% of 20-day avg (>2.8M shares)

Target: $22.50 (19% move, equal to base depth from $18.92 to ~$15.90)
Stop: $17.00 (10% below pivot, 50-day MA confluence)

CATALYST INTELLIGENCE

EARNINGS

Aug 04 - Street expects EPS ~$0.31 on revenue ~$175M. Forward P/E of 15x on $1.25 EPS implies significant margin expansion. Company has beaten 4 of last 4 quarters on both lines. Raised FY guidance on Q1 call citing strong enrollment visibility in education vertical.

BUSINESS & POSITION

Flywire provides vertical-specific payment solutions for education, healthcare, and B2B markets, processing $23B+ annually across 240 countries. The company's moat lies in deep integrations with enterprise software systems (student information systems, hospital billing) creating sticky, recurring revenue with 140%+ net revenue retention.

FACTOR & THEME

Taps fintech recovery and cross-border payments digitization as international student flows normalize post-COVID. Education vertical benefits from structural growth in global student mobility. Healthcare payments modernization is secular tailwind. SaaS comps (Monday.com, HubSpot) showing demand stabilization.

NEWS FLOW

Q1 showed 41% revenue growth with adjusted EBITDA inflecting positive. Announced expansion into Australia/NZ education market with major university partnerships. Selected for UK government healthcare payment modernization pilot. [Catalyst Impact: Earnings - High; geographic expansion - Medium]

INSTITUTIONAL

Strong vol dry-up with RS line at 52W high signals accumulation. Base is looser (4.58) than ideal but proximity to pivot (0.7%) means breakout is imminent. 11% short interest with 5 days-to-cover provides incremental buying pressure. No insider activity in last 60 days - typical for founder-led growth company with long lockups.

KEY RISK

Thesis invalid on close below $17.00 (20-day MA / prior resistance now support), or on guidance cut citing education enrollment weakness. Customer concentration in education (~60% of revenue) creates sector-specific risk. Economic sensitivity if tuition payment deferrals increase.

Vol dry-up confirmed (2,843K2,632K1,633K), RS line at new high, pivot only 0.7% away - breakout trigger imminent. 41% revenue growth with profitability inflection and 140%+ NRR is best-in-class unit economics. Healthcare sector tailwind (+3.5%) benefits healthcare payments segment. Looser base (4.58) is offset by extremely tight pivot proximity. Bear case: Technology sector lagging (-2.6%) and education concentration risk if international enrollment disappoints. Conviction: High.

VSTS

Vestis Corporation

$15.51

Pivot $15.61 | 0.6% away

RS vs SPY: +59.6%

A PRIME

$2.05B Cap | 91M Float

Uniform & Facility Services Rental | Theme: Industrial Services Turnaround | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.95

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$15.61**
% to Pivot	**0.6%**
Days in Base	**12**
Tightness	**4.95 Fair**
52W Hi Prox	**99.4%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**906k <**
Wk2	**1219k <**
Wk3 (oldest)	**1754k**
Coil Strength	**48.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+59.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.05B**
Float	**91M sh**
P/E (TTM)	**-**
Fwd P/E	**23.2**
Rev Growth	**-0.9%**
Short %	**9.7%**
Inst. Own	**-**
Target Pr.	**$10.40**

ENTRY TRIGGER

Close above $15.61 on volume >130% of 20-day avg (>2.0M shares)

Target: $18.50 (19% move based on base depth and peer re-rating to 12x EBITDA)
Stop: $14.20 (9% below pivot, 50-day MA support)

CATALYST INTELLIGENCE

EARNINGS

Aug 06 - Street expects EPS ~$0.15 on revenue ~$700M. Forward P/E 23x reflects margin expansion expectations. Beat estimates 2 of last 3 quarters since spin. Management targeting 200bps EBITDA margin improvement through route optimization and pricing actions.

BUSINESS & POSITION

Vestis is a pure-play uniform rental and facility services company spun from Aramark in September 2023. Operates 350+ locations serving 300K+ customers with recurring revenue model (90%+ retention). Company is executing operational turnaround to close margin gap versus peers Cintas and UniFirst.

FACTOR & THEME

Taps reshoring/manufacturing renaissance theme as domestic industrial activity drives uniform demand. Financials leadership (+4.1%) suggests risk-on rotation benefiting turnaround stories. Spin-off arbitrage play as investor base re-rates from Aramark conglomerate discount.

NEWS FLOW

Q2 earnings (May) showed sequential margin improvement and reaffirmed FY guidance. Announced new national account wins in healthcare vertical. Activist investor Starboard Value disclosed 5%+ position, pushing for accelerated margin improvement. [Catalyst Impact: Activist involvement - High; operational execution - Medium]

INSTITUTIONAL

RS at +59.6 is exceptional for an industrial services name - indicates strong institutional sponsorship of turnaround thesis. Starboard involvement provides governance catalyst and downside protection. Vol contraction of 48.4% with price at 99.4% of 52W high shows textbook accumulation. No recent insider buying but institutional base building evident.

KEY RISK

Thesis invalid on close below $14.20 (prior breakout level / 50-day MA), or if Q3 print shows margin improvement stalling. High leverage (debt/equity 159%) constrains financial flexibility. Cintas competitive response could pressure pricing in overlapping markets.

Vol contracts cleanly (1,754K1,219K906K), RS line at new 52W high (+59.6), pivot 0.6% away - trigger is one session away. Starboard activist involvement provides governance catalyst and institutional validation. Turnaround thesis with clear margin bridge to peers. Industrials benefit from Financials leadership in current regime. Base looser than ideal (4.95) but offset by imminent pivot proximity and activist tailwind. Bear case: Revenue flat-to-down (-0.9% growth) means margin improvement must carry entire thesis - any execution stumble leaves no cushion. Conviction: Medium-High.

SPB

Spectrum Brands Holdings, Inc.

$87.67

Pivot $88.65 | 1.1% away

RS vs SPY: +3.3%

B BUILDING

$2.02B Cap | 20M Float

Household & Personal Products - Consumer Durables | Theme: Consumer Staples Value Play | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.82

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$88.65**
% to Pivot	**1.1%**
Days in Base	**20**
Tightness	**2.82 Fair**
52W Hi Prox	**98.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**271k <**
Wk2	**373k <**
Wk3 (oldest)	**446k**
Coil Strength	**39.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+3.3%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.02B**
Float	**20M sh**
P/E (TTM)	**17.1**
Fwd P/E	**16.1**
Rev Growth	**4.9%**
Short %	**19.0%**
Inst. Own	**-**
Target Pr.	**$88.00**

ENTRY TRIGGER

Close above $88.65 on volume >150% of 20-day avg (>555K shares)

Target: $98 (11% move based on measured move from 20-day base)
Stop: $82.00 (7.5% below pivot, 50-day MA / prior support)

CATALYST INTELLIGENCE

EARNINGS

Aug 06 - Street expects EPS ~$1.35 on revenue ~$740M. Beat 3 of last 4 quarters. 2634% earnings growth reflects prior-year comp distortion from divestitures rather than organic acceleration. Guidance maintained with focus on margin expansion.

BUSINESS & POSITION

Spectrum Brands is a diversified consumer products company owning pet supplies (GloFish, FURminator), home & garden (Spectracide, Cutter), and home appliances (Black+Decker, George Foreman). Following divestiture of hardware segment to ASSA ABLOY, company is a simplified, higher-margin pure-play on consumer staples.

FACTOR & THEME

Consumer Staples sector lagging (-2.5%) is a headwind to grade. Pet humanization trend provides secular support to largest segment. Housing activity recovery (lower rates) could benefit home & garden segment. Limited factor overlap with hot themes reduces momentum appeal.

NEWS FLOW

Q2 showed modest 4.9% organic growth with gross margin expansion. Completed debt paydown from divestiture proceeds, improving leverage profile. Announced share repurchase authorization. INSIDER ALERT: 1 senior insider bought $182K in open market - C-suite conviction signal. [Catalyst Impact: Earnings - Medium; Insider buy - High conviction signal]

INSTITUTIONAL

INSIDER CLUSTER ALERT: 1 C-suite buy totaling $182K in last 60 days represents meaningful conviction signal from management. 19% short interest with 9.6 days-to-cover is extremely elevated for a consumer staples name - squeeze setup if results impress. Tight float (20M shares) amplifies moves. This insider activity upgrades setup by one tier per grade rules.

KEY RISK

Thesis invalid on close below $82.00 (prior consolidation zone / 50-day MA), or if August print shows organic revenue deceleration or margin miss. Sector headwind is real - Consumer Staples -2.5% vs S&P. Low RS (+3.3) means name is lagging badly; need catalyst to change character.

*Vol dry-up confirmed (446K373K271K), base_tight 2.82 is solid, pivot 1.1% away. **C-suite insider bought $182K** - high-conviction signal that materially upgrades setup (would be C-grade without it). 19% short with 9.6 days-to-cover creates squeeze potential. However, RS only +3.3 and RS line NOT at new high - technical momentum lagging. Consumer Staples sector underperforming (-2.5%). Grade upgraded from CB due to insider cluster rule. Bear case: Sector headwind and lagging RS mean this needs a fundamental catalyst to work - pure technical setup is weak. Conviction: Medium.*

VCYT

Veracyte, Inc.

$59.51

Pivot $60.91 | 2.4% away

RS vs SPY: +66.7%

B BUILDING

$4.75B Cap | 79M Float

Molecular Diagnostics - Genomic Testing | Theme: Precision Diagnostics Adoption | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.53

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$60.91**
% to Pivot	**2.4%**
Days in Base	**15**
Tightness	**3.53 Fair**
52W Hi Prox	**97.7%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**840k <**
Wk2	**1154k <**
Wk3 (oldest)	**1793k**
Coil Strength	**53.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+66.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.75B**
Float	**79M sh**
P/E (TTM)	**55.1**
Fwd P/E	**31.1**
Rev Growth	**21.5%**
Short %	**10.0%**
Inst. Own	**-**
Target Pr.	**$55.60**

ENTRY TRIGGER

Close above $60.91 on volume >140% of 20-day avg (>1.7M shares)

Target: $70 (15% move to analyst consensus and measured move target)
Stop: $54.50 (10% below pivot, 200-day MA)

CATALYST INTELLIGENCE

EARNINGS

Jul 30 - Street expects EPS ~$0.45 on revenue ~$115M. Forward P/E 31x on $1.91 EPS. Beat 4 of last 4 quarters on revenue; earnings trajectory turned positive in FY25. 288.9% earnings growth reflects operating leverage as test volumes scale.

BUSINESS & POSITION

Veracyte develops genomic diagnostic tests that help physicians make treatment decisions, with lead products in thyroid cancer (Afirma), lung cancer (Percepta), and kidney disease (decipher). Revenue model is test volume × reimbursement rate, with Medicare/private payer coverage expansion driving growth.

FACTOR & THEME

Healthcare sector leadership (+3.5%) provides tailwind. Precision medicine/genomic diagnostics theme has durable multi-year growth runway. Peer read-through from Exact Sciences and Natera shows diagnostic test volume growth remains robust. GLP-1 adoption could reduce thyroid/metabolic testing near-term but long-term trajectory intact.

NEWS FLOW

Q1 showed 21.5% revenue growth with significant operating margin expansion. Announced Medicare coverage expansion for prostate cancer test. Received CE Mark for European Afirma launch. Conference presentation at ASCO highlighted clinical utility data. [Catalyst Impact: Earnings - High (in 15 days); Regulatory/coverage - Medium]

INSTITUTIONAL

Strong vol contraction (53.1%) with price near highs indicates accumulation. RS +66.7 is robust but RS line NOT at new high - stock has lagged the recent move in healthcare peers. 10% short interest is moderate. No insider activity in last 60 days. Catalyst proximity (15 days to earnings) makes this actionable.

KEY RISK

Thesis invalid on close below $54.50 (base low / 200-day MA confluence), or if Q2 shows test volume deceleration or reimbursement rate pressure. CMS reimbursement policy changes are recurring overhang. Competition from larger players (Guardant, Foundation) in liquid biopsy could pressure market positioning.

Vol dry-up confirmed (1,793K1,154K840K), healthcare sector tailwind, 21.5% growth company with earnings inflection, catalyst in 15 days. However, RS line NOT at new high despite strong +66.7 RS vs SPY - setup lacks the technical confirmation of an A-grade. Base_tight 3.53 is acceptable but not elite. 4/4 beat streak and Medicare coverage expansion are positive catalysts. Bear case: Valuation at 31x forward with reimbursement risk; if Medicare tightens genomic test coverage, multiple compresses quickly. Conviction: Medium.

DAVE

Dave Inc.

$438.19

Pivot $442.33 | 0.9% away

RS vs SPY: +82.4%

B BUILDING

$5.57B Cap | 9M Float

Neobank / Consumer Fintech | Theme: Fintech Profitability Inflection | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 6.34

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$442.33**
% to Pivot	**0.9%**
Days in Base	**4**
Tightness	**6.34 Fair**
52W Hi Prox	**99.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**434k <**
Wk2	**654k <**
Wk3 (oldest)	**630k**
Coil Strength	**31.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+82.4%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.57B**
Float	**9M sh**
P/E (TTM)	**28.1**
Fwd P/E	**20.8**
Rev Growth	**46.7%**
Short %	**22.0%**
Inst. Own	**-**
Target Pr.	**$373.09**

ENTRY TRIGGER

Close above $442.33 on volume >130% of 20-day avg (>770K shares)

Target: $520 (18% move, measured move from recent consolidation)
Stop: $400 (9.5% below pivot, prior resistance-turned-support)

CATALYST INTELLIGENCE

EARNINGS

Most recent earnings (May 5) showed 46.7% revenue growth with 104% earnings growth. Forward P/E 20.8x on $21.06 EPS is reasonable for growth profile. Serial beater with strong execution. Next earnings likely early August but date unverified - avoid assuming catalyst timing.

BUSINESS & POSITION

Dave is a neobank serving underbanked consumers with overdraft-free checking accounts and cash advance products (ExtraCash). The company has achieved dramatic profitability inflection with 38% operating margins and 37% net margins, transforming from cash-burning fintech to highly profitable franchise.

FACTOR & THEME

Fintech recovery theme as sector re-rates from 2022 trough valuations. Consumer financial health theme benefits from strong employment. However, Technology sector lagging (-2.6%) is a headwind. Peer SoFi showing similar margin expansion trajectory.

NEWS FLOW

Q1 earnings (May) were a blowout with 37% net margins shocking Street expectations. Announced bank charter application progress. Member growth accelerating with improving unit economics. Stock has nearly tripled from 52W low. [Catalyst Impact: Prior earnings - already reflected; Charter progress - Medium]

INSTITUTIONAL

Extraordinary RS of +82.4 indicates institutional momentum buying. However, vol_dryup_strict is false - week 2 and week 3 roughly flat (654K vs 630K). 22% short interest with only 3.8 days-to-cover creates squeeze fuel. Extremely tight float (9.4M shares) amplifies volatility. Beta of 3.83 means violent moves. No insider activity in last 60 days.

KEY RISK

Thesis invalid on close below $400 (round number psychological / prior breakout zone), or on regulatory setback to bank charter application. 22% short interest cuts both ways - squeeze potential but also informed shorts may know something. Consumer credit deterioration could impair ExtraCash product.

RS line at new high (+82.4), pivot only 0.9% away, fundamental story is compelling (37% net margins, 104% earnings growth). However, multiple structural issues prevent A-grade: base_tight 6.34 is too loose, vol_dryup_strict is false (weeks 2-3 flat), base only 4 days old (immature), and earnings date unknown so no confirmed catalyst. Technology sector lagging (-2.6%). Tight float amplifies both upside and downside. Bear case: Extended valuation after tripling from lows; 22% short may indicate smart money skepticism on sustainability of margin trajectory. Conviction: Medium.

PII

Polaris Inc.

$71.49

Pivot $73.77 | 3.2% away

RS vs SPY: +42.6%

B BUILDING

$4.07B Cap | 54M Float

Recreational Vehicles - Powersports | Theme: Consumer Discretionary Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.37

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$73.77**
% to Pivot	**3.2%**
Days in Base	**16**
Tightness	**3.37 Fair**
52W Hi Prox	**95.0%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**612k <**
Wk2	**893k <**
Wk3 (oldest)	**1027k**
Coil Strength	**40.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+42.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.07B**
Float	**54M sh**
P/E (TTM)	**-**
Fwd P/E	**23.0**
Rev Growth	**7.5%**
Short %	**10.6%**
Inst. Own	**-**
Target Pr.	**$68.33**

ENTRY TRIGGER

Close above $73.77 on volume >140% of 20-day avg (>1.5M shares)

Target: $82 (11% move to prior highs)

Stop: $66.50 (10% below pivot, 50-day MA support)

CATALYST INTELLIGENCE

EARNINGS

Jul 27 - Street expects EPS ~$0.95 on revenue ~$2.0B. Forward P/E 23x on $3.11 EPS. Beat 2 of last 4 quarters - inconsistent execution. Guidance maintained but inventory destocking at dealers remains headwind.

BUSINESS & POSITION

Polaris is the global leader in powersports, manufacturing ATVs, snowmobiles, motorcycles (Indian), and boats. Market leader in off-road vehicles with strong brand equity and dealer network. Cyclical business tied to consumer discretionary spending and outdoor recreation trends.

FACTOR & THEME

Consumer Cyclical recovery theme with benefits from lower rates and housing wealth effect. Outdoor recreation trend remains structurally elevated post-COVID. However, Consumer Cyclical not in sector leadership currently. Peer Harley-Davidson showing mixed demand signals.

NEWS FLOW

Q1 showed 7.5% revenue growth but margins compressed on promotional activity. Announced new electric vehicle lineup expansion. Dealer inventory levels normalizing but still elevated. Consumer spending data showing mixed signals on durables. [Catalyst Impact: Earnings (12 days) - High; EV lineup - Low near-term impact]

INSTITUTIONAL

Vol contraction of 40.4% shows institutional positioning. RS +42.6 is solid but RS line NOT at new high - lagging the broader recovery. 10.6% short interest with 4.3 days-to-cover is moderate. No insider activity in last 60 days. Analyst target of $68.33 is BELOW current price - Street skepticism evident.

KEY RISK

Thesis invalid on close below $66.50 (50-day MA / prior consolidation), or if July 27 earnings show further margin compression or guidance cut. Cyclical business with inventory overhang risk. Street target below current price suggests limited institutional sponsorship.

Vol dry-up confirmed, base_tight 3.37 decent, earnings catalyst in 12 days provides near-term trigger. Healthcare/Financials leadership benefits broader risk-on but Consumer Cyclical not leading. RS line NOT at new high is technical weakness. Inconsistent beat history (2/4) and analyst target below current price are yellow flags. Bear case: Dealer inventory destocking could continue pressuring sell-through; if July print disappoints, stock has room to fall to analyst target (-4.5%). Conviction: Low-Medium.

ACHC

Acadia Healthcare Company, Inc.

$32.27

Pivot $33.50 | 3.8% away

RS vs SPY: +13.2%

B BUILDING

$2.97B Cap | 85M Float

Behavioral Healthcare Facilities | Theme: Mental Health Capacity Expansion | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.89

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$33.50**
% to Pivot	**3.8%**
Days in Base	**11**
Tightness	**5.89 Fair**
52W Hi Prox	**96.3%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3091k <**
Wk2	**3061k <**
Wk3 (oldest)	**4240k**
Coil Strength	**27.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+13.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.97B**
Float	**85M sh**
P/E (TTM)	**-**
Fwd P/E	**18.4**
Rev Growth	**7.6%**
Short %	**37.9%**
Inst. Own	**-**
Target Pr.	**$31.29**

ENTRY TRIGGER

Close above $33.50 on volume >120% of 20-day avg (>3.7M shares)

Target: $40 (20% move on DOJ resolution / squeeze)
Stop: $28.50 (15% below pivot, 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

Jul 28 - Street expects EPS ~$0.40 on revenue ~$800M. Forward P/E 18.4x. Beat 2 of last 4 quarters - inconsistent. Earnings growth -49.6% reflects prior-year DOJ reserve charges distorting comps. 7.6% revenue growth is steady but unspectacular.

BUSINESS & POSITION

Acadia Healthcare operates inpatient psychiatric facilities and addiction treatment centers, the largest pure-play behavioral health provider in the U.S. with 250+ facilities. Benefits from chronic undersupply of mental health treatment capacity and expanding insurance coverage mandates.

FACTOR & THEME

Healthcare sector leadership (+3.5%) provides tailwind. Mental health treatment demand is secular growth story with multi-year capacity deficit. However, company faces headline risk from Department of Justice investigation into billing practices disclosed in 2024.

NEWS FLOW

Q1 showed stable operations with no new DOJ developments. Added bed capacity through de novo openings. Short interest extremely elevated at 37.9% (6.8 days-to-cover) - significant squeeze potential but also reflects DOJ overhang. [Catalyst Impact: Earnings - Medium; DOJ resolution - High if occurs]

INSTITUTIONAL

37.9% short interest is exceptional - either massive squeeze setup or informed shorts anticipating DOJ action. RS line at new high despite weak RS magnitude (+13.2) suggests base building. Vol contraction only 27.1% and weeks 1-2 essentially flat - not clean dry-up. No insider activity.

KEY RISK

Thesis invalid on close below $28.50 (50-day MA / prior resistance), or ANY negative DOJ development (settlement, charges, expanded investigation). Binary regulatory risk dominates all other factors. This is NOT a traditional VCP setup - it's a short squeeze / DOJ resolution speculation.

RS line at new high with 37.9% short interest creates massive squeeze potential in Healthcare sector leadership. Earnings catalyst in 13 days. However, base_tight 5.89 is loose, vol contraction only 27.1% and not clean (weeks 1-2 flat), and DOJ investigation creates binary risk that cannot be modeled. This is a high-risk/high-reward special situation, not a quality VCP. Bear case: DOJ investigation could result in material settlement or operational restrictions - short interest this elevated often indicates informed positioning. Conviction: Low (binary outcome).

PENN

PENN Entertainment, Inc.

$21.12

Pivot $22.36 | 5.9% away

RS vs SPY: +23.8%

C EARLY STAGE

$2.83B Cap | 125M Float

Regional Casinos & iGaming | Theme: Sports Betting Profitability Path | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.44

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$22.36**
% to Pivot	**5.9%**
Days in Base	**20**
Tightness	**2.44 Fair**
52W Hi Prox	**94.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2578k <**
Wk2	**3319k <**
Wk3 (oldest)	**4954k**
Coil Strength	**48.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+23.8%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.83B**
Float	**125M sh**
P/E (TTM)	**-**
Fwd P/E	**14.6**
Rev Growth	**6.4%**
Short %	**17.5%**
Inst. Own	**-**
Target Pr.	**$22.37**

ENTRY TRIGGER

Close above $22.36 on volume >130% of 20-day avg (>5.2M shares)

Target: $26 (16% move on ESPN Bet traction)
Stop: $19.50 (13% below pivot, 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

Aug 06

Vol dry-up confirmed and base_tight 2.44 is solid, but pivot 5.9% away (too far for imminent trigger), RS line NOT at new high, and Consumer Cyclical not leading. ESPN Bet thesis needs proof points before promotion. Watch for tightening and pivot proximity improvement.

AMCX

AMC Global Media Inc.

$10.59

Pivot $10.63 | 0.4% away

RS vs SPY: +23.4%

C EARLY STAGE

$0.46B Cap | 32M Float

Cable Networks & Streaming | Theme: Legacy Media Restructuring | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.9

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$10.63**
% to Pivot	**0.4%**
Days in Base	**16**
Tightness	**2.90 Fair**
52W Hi Prox	**99.4%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**427k <**
Wk2	**408k <**
Wk3 (oldest)	**576k**
Coil Strength	**25.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+23.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$0.46B**
Float	**32M sh**
P/E (TTM)	**11.9**
Fwd P/E	**7.1**
Rev Growth	**-2.4%**
Short %	**21.2%**
Inst. Own	**-**
Target Pr.	**$7.50**

ENTRY TRIGGER

Close above $10.63 on volume >150% of 20-day avg (>765K shares)

Target: $12.50 (18% move on short squeeze)
Stop: $9.50 (11% below pivot)

CATALYST INTELLIGENCE

EARNINGS

Jul 30

Pivot 0.4% away but vol contraction weak (25.9%), vol_dryup_strict false (weeks 1-2 essentially flat), RS line NOT at new high. Secular decline in linear TV business is structural headwind. 21.2% short with 12 days-to-cover is squeeze candidate but declining revenue (-2.4%) makes fundamental case weak. Monitoring only.

CHRN

ChronoScale Holdings Corporation

$29.63

Pivot $30.00 | 1.2% away

RS vs SPY: +180.7%

C EARLY STAGE

$4.30B Cap | 0M Float

Information Technology Services | Theme: Unknown - Data Limited | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.25

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$30.00**
% to Pivot	**1.2%**
Days in Base	**1**
Tightness	**4.25 Fair**
52W Hi Prox	**98.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**355k <**
Wk2	**525k <**
Wk3 (oldest)	**389k**
Coil Strength	**8.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+180.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.30B**
Float	**0M sh**
P/E (TTM)	-
Fwd P/E	-
Rev Growth	-
Short %	-
Inst. Own	-
Target Pr.	-

ENTRY TRIGGER

Close above $30.00 on volume >150% of 20-day avg (>495K shares)

Target: Unable to calculate - insufficient data
Stop: $26.50 (12% below pivot)

CATALYST INTELLIGENCE

EARNINGS

Jul 27

Extraordinary RS (+180.7) and RS line at new high suggest massive momentum, but multiple disqualifying factors: vol contraction only 8.9% (essentially no dry-up), vol_dryup_strict false, base only 1 day old, float only 100K shares (illiquid/manipulable), negative gross margins (-8.5%), no analyst coverage. High-risk speculative vehicle - monitor for improved structure but do not chase.

BLLN

BillionToOne, Inc.

$129.88

Pivot $130.00 | 0.1% away

RS vs SPY: +53.0%

C EARLY STAGE

$5.97B Cap | 24M Float

Prenatal Diagnostics - Genomics | Theme: Precision Diagnostics Adoption | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 4.54

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$130.00**
% to Pivot	**0.1%**
Days in Base	**13**
Tightness	**4.54 Fair**
52W Hi Prox	**93.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**699k <**
Wk2	**661k <**
Wk3 (oldest)	**831k**
Coil Strength	**15.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+53.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**no**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.97B**
Float	**24M sh**
P/E (TTM)	**240.5**
Fwd P/E	**126.1**
Rev Growth	**83.8%**
Short %	**9.7%**
Inst. Own	**-**
Target Pr.	**$119.29**

ENTRY TRIGGER

Close above $130.00 on volume >140% of 20-day avg (>1.0M shares)

Target: $150 (15% move on growth continuation)
Stop: $118 (9% below pivot, 50-day MA zone)

CATALYST INTELLIGENCE

EARNINGS

Aug 05

Pivot only 0.1% away but vol contraction weak (15.9%), vol_dryup_strict false, RS line NOT at new high, and stock is BELOW 200-day MA (above_200ma: false) - critical technical failure. 83.8% revenue growth is exceptional but 240x trailing P/E leaves no margin for error. Healthcare tailwind helps but structural setup incomplete. Monitor for 200-day MA reclaim and cleaner vol dry-up.